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III Short answer questions

1. Distinguish between capital expenditure and revenue expenditure.
2. Distinguish between capital receipt and revenue receipt.
3. What is deferred revenue expenditure? Give two examples.

IV Exercises

1. State whether the following expenditures are capital, revenue or deferred revenue.

   i) Advertising expenditure, the benefits of which will last for three years.

   ii) Registration fees paid at the time of registration of a building.

   iii) Expenditure incurred on repairs and whitewashing at the time of purchase of an old building in order to make it usable.

   (**Answer**: Capital Expenditure: ii , iii Deferred revenue expenditure: i)

2. Classify the following items into capital and revenue.

   i) Registration expenses incurred for the purchase of land.

   ii) Repairing charges paid for remodelling the old building purchased.

   iii) Carriage paid on goods purchased.

   iv) Legal expenses paid for raising of loans

   (**Answer**: Capital : i, ii, iv Revenue: iii)

3. State whether they are capital and revenue.

   i) Construction of building ` 10,00,000.

   ii) Repairs to furniture ` 50,000.

   iii) White-washing the building ` 80,000

   iv) Pulling down the old building and rebuilding ` 4,00,000

   (**Answer**: Capital: i, iv. Revenue: ii, iii)

4. Classify the following items into capital and revenue.

   i) ` 50,000 spent for railway siding.

   ii) Loss on sale of old furniture

   iii) Carriage paid on goods sold.

   (**Answer**: Capital: i, Revenue: ii, iii)